

wins and no closer to knowing if her vision will be able to scale.

One assumption, for example, might be that the company's long-standing values included a commitment to improving the community but that recent economic trouble had resulted in an increased companywide strategic focus on short-term profitability. Perhaps longtime employees would feel a desire to reaffirm their values of giving back to the community by volunteering. A second assumption could be that they would find it more satisfying and therefore more sustainable to use their actual workplace skills in a volunteer capacity, which would have a greater impact on behalf of the organizations to which they donated their time. Also lurking within Caroline's plans are many practical assumptions about employees' willingness to take the time to volunteer, their level of commitment and desire, and the way to best reach them with her message.

The Lean Startup model offers a way to test these hypotheses rigorously, immediately, and thoroughly. Strategic planning takes months to complete; these experiments could begin immediately. By starting small, Caroline could prevent a tremendous amount of waste down the road without compromising her overall vision. Here's what it might look like if Caroline were to treat her project as an experiment.

Break It Down

The first step would be to break down the grand vision into its component parts. The two most important assumptions entrepreneurs make are what I call the value hypothesis and the growth hypothesis.

The value hypothesis tests whether a product or service really delivers value to customers once they are using it. What's a good indicator that employees find donating their time valuable? We could survey them to get their opinion, but that would not be very accurate because most people have a hard time assessing their feelings objectively.